Brazil Macro Monthly

Copom remains cautious amid risky global optimism

- The short-term global environment remains positive for emerging markets. The Fed will likely cut rates again in December. Institutional and geopolitical risks remain, however. A potential fall in energy and grain prices also poses a risk for commodity exporters as Brazil.
- Politics in November will focus on the trajectory of President Lula's popularity recovery and the outcome of the STF trial that convicted Bolsonaro, while the government tries to advance its economic agenda in Congress to ensure compliance with the 2026 fiscal target.
- Domestic activity has lost momentum in the second half of the year, in line with restrictive monetary policy. Nonetheless, income and credit stimuli should increase demand going forward. We project GDP will grow 2.1% in 2025 and 1.7% in 2026 (biased upwards).
- We see the government meeting its primary fiscal target this year and, with the help of extraordinary revenues, coming close to the lower bound of the tolerance range next year. However, government debt will continue to rise, reaching 83.6% of GDP in 2026.
- Our exchange rate projections remain at 5.30 reais per dollar for YE 2025 and 5.50 for YE 2026. In the external accounts, better-than-expected exports have led to higher trade balance forecasts this year and next. However, an upward bias for local activity in 2026 is a risk.
- The favorable dynamics of goods inflation are expected to persist next year. As a result, we have lowered our projection for the 2025 IPCA inflation from 4.6% to 4.5%. For 2026, we project IPCA at 4.2%, compared to 4.5% in our previous monthly report.
- The inflation dynamics have been better than anticipated. But the medium-term balance of risks is worsening due to fiscal expansionary measures. We continue to see the Selic rate at 12.00% by the end of 2026, after six consecutive 50-bp cuts starting in March.

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XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current	
Economic Activity											
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,295	2,295	▬	2,412	2,412	▬
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,672	12,672	▬	13,508	13,508	▬
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.1	2.1	▬	1.7	1.7	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.0	▬	6.3	6.3	▬
Inflation											
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.6	4.5	▼	4.5	4.2	▼
Monetary Policy											
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.0	12.0	▬
Public Finances											
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.4	-0.5	▼	-0.4	-0.5	▼
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	0.0	-0.1	▼	-0.1	0.0	▲
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.8	▼	-0.5	-0.5	▲
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.0	-8.0	▬	-8.2	-8.2	▬
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.9	78.9	▬	83.1	83.6	▲
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	64.9	65.0	▲	68.8	69.3	▲
External Accounts and FX											
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.30	5.30	▬	5.50	5.50	▬
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	49.7	58.3	▲	53.4	60.4	▲
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	342.0	350.6	▲	350.6	357.6	▲
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	292.3	292.3	▬	297.2	297.2	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-79.5	-73.8	▲	-74.5	-67.5	▲
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.5	-3.2	▲	-3.1	-2.8	▲
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	72.6	75.6	▲	70.0	70.0	▬
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.2	3.3	▲	2.9	2.9	▬

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – Short-term optimism, medium-term worries

The short-term scenario remains favorable for Brazilian asset prices. Globally, growth is losing steam but without recession, opening room for monetary policy easing in many regions – particularly in the US. Commodity prices have been volatile but remain at favorable levels.

Trade negotiations reinforced that a trade war should not be too harmful to global economic growth. Moreover, AI investment remains strong, keeping growth at a solid (though slower) pace.

In this environment, equity indexes have reached record highs across the globe.

In Brazil, growth is finally accommodating, driven by tight monetary policy. Inflation continues to trend down, benefiting from stronger BRL, lower gasoline prices, solid food production, and favorable weather conditions. Inflation expectations are falling gradually but consistently, indicating that the Central Bank's persistence is paying off. The room for monetary easing next year seems clearer now, as reflected in the bull flattening of the futures market yield curve.

Analysts should take this positive environment, however, with a pinch of salt.

Globally, geopolitical, fiscal, and institutional risks are mounting, as we highlight in the 'Global backdrop' section below. In Brazil, the government is planning a relevant fiscal and quasi-fiscal expansion for next year, what should keep debt dynamics under pressure.

Our simulations suggest a significant reacceleration of economic activity as the stimulus kicks in, which should limit disinflation next year. The extent of the easing cycle, then, depends on the outlook for 2027 – the Central Bank´s relevant horizon by mid next year. The outlook for 2027, in turn, is contingent on the 2026 presidential election.

For the Selic rate to move closer to its neutral level – around 5.5% in real terms, as per our estimates – fiscal reforms that reduce the pace of expenditure growth are key. Without them, rising government debt may revive the debate over fiscal dominance that took place in Q4 2024.

Global backdrop – Trump trade talks fuel short-term 'goldilocks'. Risks should be monitored, however.

Caio Megale

The global scenario remains positive for EM. The global environment hasn't changed much since our latest Monthly report and remains positive for EM and Brazil. Growth has moderated, but without a clear recession risk in the main economic blocs. Europe is even showing some strength. The Federal Reserve cut rates for the second time in a row last month and will probably do it again in December, despite the uncertainty caused by the US's longer-than-expected shutdown.

Trade talks helped to boost market prices last month. In addition to the relatively favorable macro results, US President Trump's meetings with other leaders – including Chinese President Xi and Brazilian Lula – signaled positive developments in tariff negotiations. Once again, the theme is proving noisy but not too harmful for the global economy.

Still, a positive short-term environment masks relevant risks.

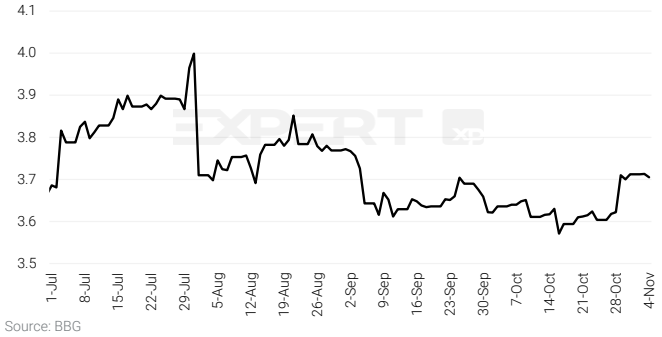
The Fed may disappoint the market's dovish outlook. Economic activity data in the US do not clearly suggest a significant slowdown, and inflation remains stubbornly above the target. The shutdown is making this analysis more difficult. Thus, the Fed may well disappoint the market's more dovish views, as suggested by Chair Powell in the latest post-FOMC press conference. The consequence could be a **US dollar revaluation**, hitting EM currencies.

Moreover, the US and other DM regions' fiscal situation remains fragile, adding pressure to long-term bond yields.

Institutional risks remain. Tensions between the Trump administration and the Fed may lead to a less technical monetary policy conduct over time. In that sense, the appointment of the new Fed Chair, promised to be announced before year-end, is possibly the most important economic development of the coming months.

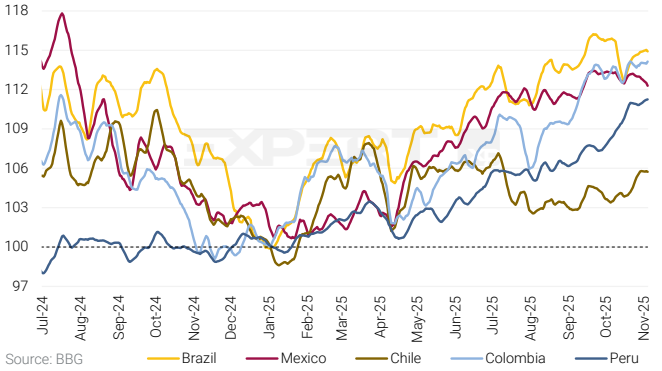
Commodity prices are in fragile equilibrium. Commodity prices have been volatile but remain at relatively favorable levels. However, market experts point to an oversupply in some of Brazil's main exported commodities, such as crude oil and iron ore. Oil prices below $60 per barrel (Brent) could significantly impact exports and domestic tax revenues.

The Fed will probably cut rates again in December, despite its cautious communication
Pricing for the Fed Funds implied by interest rate swaps (%)



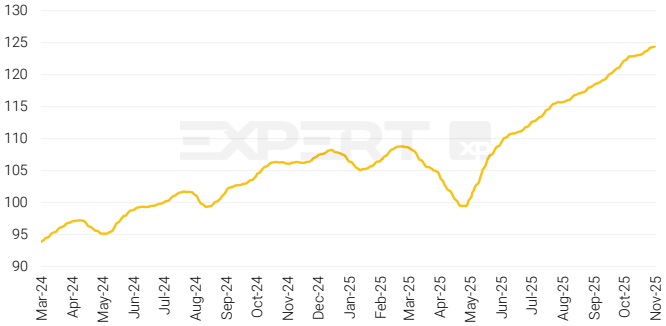
Source: BBG

Despite short-term volatility, Latin American currencies continue to benefit from the global scenario
Exchange rate index, Jan/2025 = 100 (upward move = appreciation).



Source: BBG

Stock markets surged in October, boosted by trade negotiations progress
All Country World Index (2024 = 100)



Source: BBG

BRAZIL – Copom remains cautious amid risky global optimism

Political environment – Lula's popularity, outcome of Bolsonaro's trial, and the economic agenda in Congress

Paulo Gama and XP Politics

In November, the political focus will remain on the trajectory of President Lula's recovery in popularity, following the police operation in Rio de Janeiro at the end of October.

Since the announcement of Brazil's inclusion in the tariff hike promoted by President Donald Trump — and an unsuccessful strategy undertaken by the opposition following that movement — the Brazilian leader recovered the positive approval ratings registered last year. This growth was also boosted by the easing of inflation, the advancement of the Income Tax reform on the public agenda, and a vacuum in the opposition since Tarcísio de Freitas decided to remove himself from the national scene.

Attention is now focused on understanding whether the negative impact that the Rio operation shows in this recovery trajectory will be sustained, or whether Lula's popularity will grow once again, after the intense focus of this initial moment, indicating greater resilience among the electorate.

The government, in the meantime, has been working to put back on the agenda topics that reinforce its narrative and boost Lula's popularity. The President will rely on the publicity from the approval of the Income Tax exemption for those earning up to BRL 5,000 to reinforce the message that will drive next year's campaign.

Still in the electoral arena, there is also attention on the outcome of the trial that convicted Bolsonaro in the coup plot process. The former President has already filed appeals against the conviction, and the expectation is that they will be rejected by the Supreme Court First Panel — which opens the path for the execution of the sentence, with the possibility it will be served in a closed regime. Even so, his defense is considering the possibility of filing new types of appeals with the intention of overturning the conviction. Regardless of its legal viability, politically the new appeal, if confirmed, could give momentum to the strategy of part of the "Bolsonarista" group to insist on the possibility of the former President retaining influence over 2026 and further delaying the decision about his endorsement in next year's electoral race.

In this scenario, Governor Tarcísio de Freitas appears to continue seeing incentives to remain distant from the public confrontation, at least in the short term.

Returning to Congress, with the Income Tax reform approved, the government will focus on the revenue-raising and expenditure containment measures that are still in discussion.

With the rejection of Provisional Measure 1303, the government adopted the strategy of splitting the proposal, according to the level of resistance of each topic. The idea of discussing the taxation of exempt bonds, a point perceived as having the greatest resistance among congressmen, has been abandoned. However, there is still discussion about the possibility of tightening the rules for the issuance of some of these bonds.

Another chapter of the Provisional Measure — the one dealing with adjustments to Pé-de-Meia program and the seguro-defeso benefit (an unemployment insurance paid to fishermen during the closed fishing season) and imposing restrictions on tax offsets — remains alive in a text already approved in the Lower House and under discussion in the Senate. A part of it (the one that imposes a budgetary limitation on the payment of the seguro-defeso benefit), was even sent via another Provisional Measure so that it could be computed in the bimonthly report on revenues and expenditures, to be published at the end of November. These points were seen as having the least difficulty in discussion with Congress, and they are expected to be approved by the end of the year.

There is also a third chapter, with an uncertain outcome. It deals with the taxation of betting companies, the Income Tax increase on JCP (Interest on Equity), and the increase in the CSLL rate on Fintechs. Senator Renan Calheiros, who reported on the Income Tax reform in the Senate, presented a bill addressing these topics, but there is still no decision on what the government will decide. The topics faced resistance during the processing of the Provisional Measure 1303, which is expected to be repeated in this new negotiation.

There is also the beginning of discussions on the bill that deals with the review of tax benefits — whose revenue is important for the government to maintain the expectation of meeting the 2026 primary surplus target.

Furthermore, November is also expected to see the continuation of political discussions about the 2026 budget — embedded in the electoral context. Representatives and senators want the government's guarantee that pork barrel policies will be executed at the beginning of the year, thus preventing the Planalto Palace from being able to favor allies before the start of next year's race. Although it resists making this commitment, the government may be forced to make some concession to congressmen to be able to adjust the 2026 Budget Guidelines Law (LDO) in a way that allows it to manage the budget based on the lower band of the surplus target, and not the center of the target.

Activity – Economic growth close to potential in 2025 and 2026

Rodolfo Margato

Monetary policy is taking effect. The tightening of monetary conditions largely explains the recent slowdown in domestic activity. Higher indebtedness levels (households and firms), rising delinquency rates, and the decline in credit concessions with non-earmarked resources have driven the deterioration in the production and sales of capital and durable consumer goods. Industrial production and retail sales are expected to remain weak in the coming months.

Significant increase in income, despite initial signs of stabilization in the labor market. The employed population has lost momentum in recent months, particularly among informal job categories. That said, unemployment remains at historically low levels, between 5.5% and 6.0%. In the context of a tight labor market, aggregate real labor income is expected to grow by around 5.5% in 2025, considerably above our initial projections (about 4.0% at the beginning of the year). This dynamic has supported the services sector to remain on a growth trajectory, albeit at a more moderate pace.

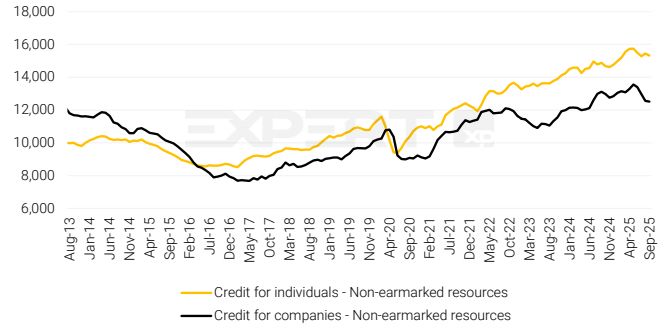
Our projection for 2025 GDP growth remains at 2.1%. We estimate a slight increase of 0.2% QoQ for both Q3 and Q4. The strength of the labor market, as highlighted above, coupled with the return of fiscal policy to an expansionary stance—including Court-ordered debt payments—should prevent a contraction in overall economic activity in the short term.

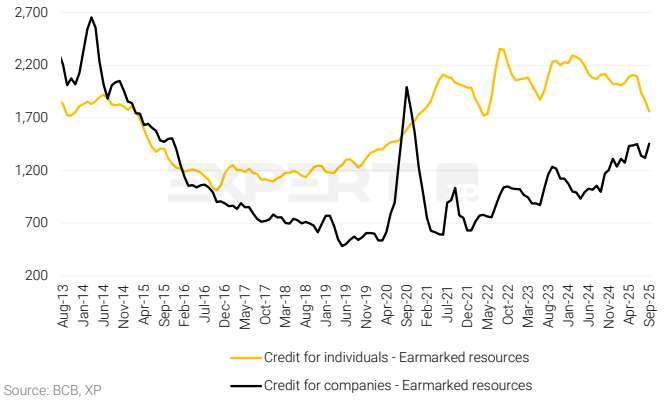
Local activity should speed up going forward. Stimulus measures (income and credit) are expected to boost aggregate demand throughout 2026. Our current baseline already factors in the impact of: (i) the Personal Income Tax reform, which will exempt workers earning up to BRL 5,000 per month, in addition to providing deductions for those earning up to BRL 7,350 per month; (ii) the acceleration of the new payroll-deductible credit line for private sector workers, whose current concessions are below initial projections; (iii) higher disposable income for poor families due to the "Gás do Povo" and "Luz do Povo" government programs (free access to cooking gas and electricity); and (iv) the expansion of public investment, driven primarily by State governments.

Our projection of 1.7% for 2026 GDP growth has an upward bias. According to our calculations, the measures listed above will add approximately 0.7pp to GDP growth next year. Other recently announced government programs, such as "Novo Crédito Imobiliário" (aimed at boosting mortgage lending operations) and "Reforma Casa Brasil" (subsidized credit for home renovations), imply an upside bias to our projection.

No spare capacity in the factors of production over the foreseeable horizon. The output gap —the difference between

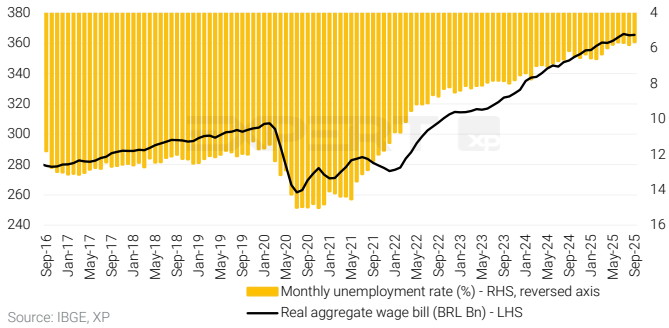
Cooling in the credit market, except for corporate earmarked lines (with significant participation from public banks)
SAS Real daily average (BRL Mn). 3MMA.





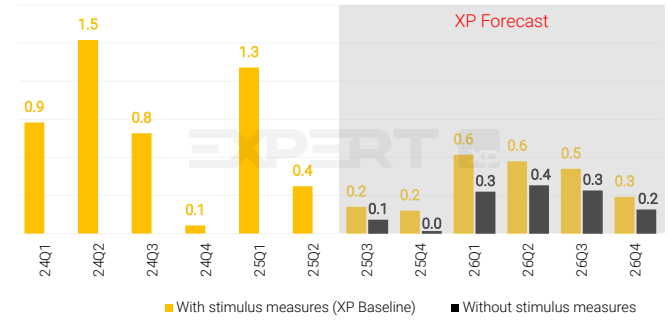
Source: BCB, XP

Sharp increase in real income, despite recent signs of stabilization in the labor market
SAS



Source: IBGE, XP

Brazil's GDP is expected to accelerate next year amid credit and income impulses
Total GDP. QoQ SAS (%)



Source: IBGE, XP
Stimulus measures include: personal income tax reform; new payroll credit for private sector workers; Court-ordered payments; "Gás do Povo" and "Luz do Povo" programs; GFCF by subnational governments

actual GDP and potential GDP—is slightly below 1.0pp, as per our estimates. We believe this measure will not return to its neutral level before 2027. Indeed, our GDP outlook indicates economic growth close to potential (around 2.0%) this year and next.

XP Forecast (%)

GDP Breakdown	2023	2024	2025 (F)	2026 (F)
Agriculture & Livestock	16.3	-3.2	8.5	2.3
Industry	1.7	3.3	1.2	1.0
Services	2.8	3.7	1.9	1.8
Total GDP	**3.2**	**3.4**	**2.1**	**1.7**
Household Consumption	3.2	4.8	1.7	2.0
Government Consumption	3.8	1.9	1.3	1.6
Gross Fixed Capital Formation	-3.0	7.3	3.8	1.4
Exports	8.9	2.9	4.0	2.5
Imports (-)	-1.2	14.7	4.9	2.2

Source: IBGE, XP

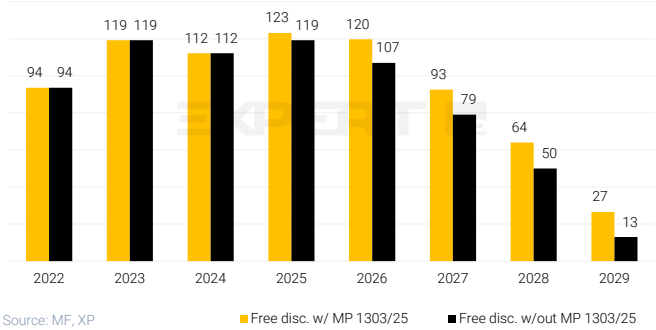
Public finances – Meeting primary targets does not prevent public debt-to-GDP ratio from keep rising

Tiago Sbardelotto

Central government accumulates a deficit of BRL 100.3 billion year-to-date. Revenue growth has moderated recently, while discretionary spending continues to rise. We believe this trend is likely to continue, but with some slowdown in spending. **We now expect a total primary deficit of 60.5 (0.5% of GDP) this year. Excluding the legal exemptions, the primary deficit decreases to BRL 10.8 billion (0.1% of GDP) – closer, therefore, to the mid-point of the primary balance target (0.0%).**

The expiration of Provisional Measure 1303/25 demands further efforts on the revenue side for next year. The measures to increase tax collection contained in MP 1303/25, which has expired, would boost revenue by an estimate of BRL 20 billion. Following the expiration, the government included the least controversial measures of the MP - such as limiting tax compensation, increasing CSLL rates for digital banks, and increasing income tax on interest on equity capital (IoE) – in another bill. We have incorporated these changes into our projection **and now expect a deficit of BRL 61.6 billion (0.5% of GDP) - BRL 58.3 billion (0.4% of GDP) previously.** Considering the legal exemptions, this means a deficit of BRL 11.8 billion (0.1% of GDP). Thus, in order to reach the lower bound of the target range (zero), additional efforts to increase revenue and/or cut expenses remain necessary.

Spending cuts included in the extinct Provisional Measure 1303 would be key to reducing pressure on budget execution over 2026
Free discretionary spending (at 2026 prices)

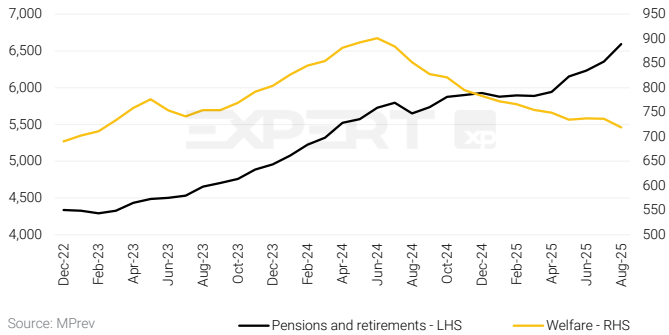


Source: MF, XP

The government is allowed to aim for the lower bound of the target range. In a recent decision, the National Court of Accounts (TCU, in the Portugues acronym) allowed the government to use the lower bound of the target range as a parameter for implementing spending freezes ("contingenciamentos") throughout the budget execution, provided that the budget guidelines law (LDO) specifies this. **Therefore, we believe that the 2026 target will be maintained (0.25% of GDP), but with the government officially aiming its lower bound (0.0%).**

Raising the spending limit reduces pressure in 2026. The BRL 13.4 billion increase in the spending limit resulting from PEC 66/2023 will reduce the spending pressure next year. However, the risks for social security benefits and BPC/LOAS expenditures are skewed upward, given that the backlog of benefit requests

Pensions and retirement concessions have been increasing, while welfare benefit concessions have been falling substantially
Benefits granted. 12M (thousands)



Source: MPrev

remains close to historic highs. Its reversal will have a full impact in the next fiscal year.

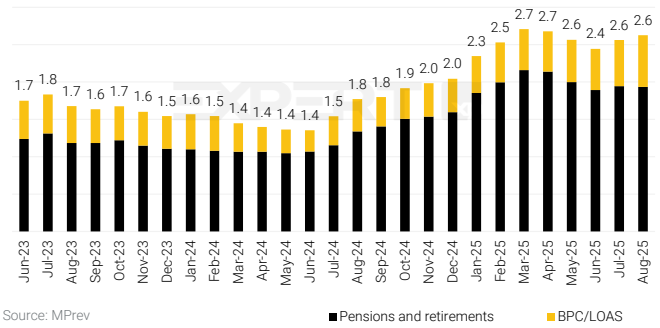
Increasing risks for 2026. On the revenue side, the greatest risk lies in a more significant slowdown in economic activity and oil prices. On the expenditure side, local media have discussed new expansionary measures such as raising the Bolsa Família program per-head benefit, free public transportation, and others. In our view, there is little room for expenditure increases in next year's budget, although we do not rule out a possible universalization of the high school savings account (Pé-de-Meia), at an estimated cost of BRL 5 billion.

Regional and state governments show deterioration. The results accumulated through September indicate a worsening in state results, a consequence of weaker tax collection and accelerated spending in the face of the electoral cycle. The deficit of state-owned companies, in turn, continues to increase, driven by federal state-owned companies, whose negative results more than doubled in one year. **Thus, for the consolidated public sector (federal, regional, and state governments), we estimate a deficit of BRL 61.8 billion, or 0.8% of GDP for 2025, and BRL 64.2 billion, or 0.5% of GDP in 2026.**

We maintain our projection of an increase in public debt for this year, but we have raised our projection for 2026. We project that general government gross debt (GGGD) will reach 78.9% of GDP and 83.6% of GDP at the end of 2025 and 2026, respectively. Net public sector debt (DLSP) is expected to end the year at 65.0% of GDP and next year at 69.3% of GDP. The higher increase in 2026 is explained by a combination of higher implicit debt costs resulting from interest rates and higher subsidies, and economic activity growing at a slower pace.

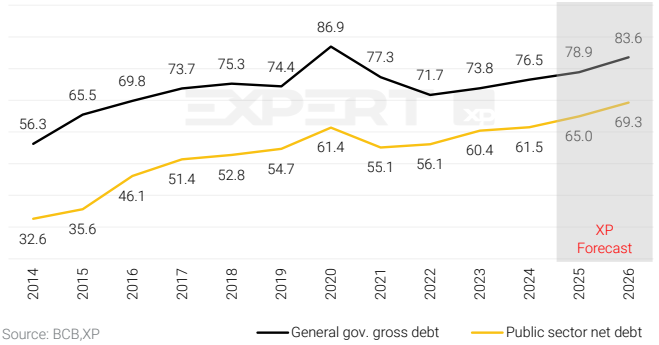
Discussions on the fiscal framework are likely to resurface as discretionary spending loses ground. From 2027 onwards, discretionary spending is expected to fall again as mandatory spending grows at a faster pace, forcing the government to re-discuss the current spending limit. In our view, the current fiscal rule needs urgent changes to restore the credibility of the primary result target system and the spending limit, in particular by adopting maximum spending growth parameters below the current level (2.5%) and combining them with structural reforms on the expenditure side.

Backlog of benefit requests has risen again, posing a risk to government expenditures
Benefit applications not assessed (millions)



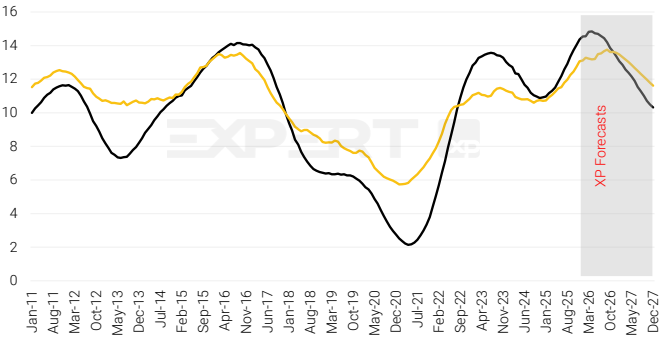
Source: MPrev

Public debt will keep rising even with government meeting the primary balance target
(% of GDP)



Source: BCB,XP

The implicit interest rate of general government debt is expected to peak in 2026
Interest rates (% p.a.)



Source: BCB, XP

External Accounts – Strong export performance narrows the current account deficit, but caution remains warranted

Luíza Pinese

We raised our 2025 trade balance forecast. Brazilian exports have continued to beat expectations, particularly in the commodities sector. Export volumes of meats and grains have exceeded this year, while coffee and iron ore prices remain at favorable levels. In addition, a robust grain harvest and Argentina's economic recovery have supported export growth. Taking these factors into account, we raised our export forecasts from USD 339.4 billion to USD 348.0 billion for 2025, and from USD 348.0 billion to USD 355.0 billion for 2026. Meanwhile, imports have stabilized at high levels, as anticipated. **Consequently, our projection for this year's trade surplus increased from USD 58.3 billion to USD 66.9 billion (MDIC methodology).**

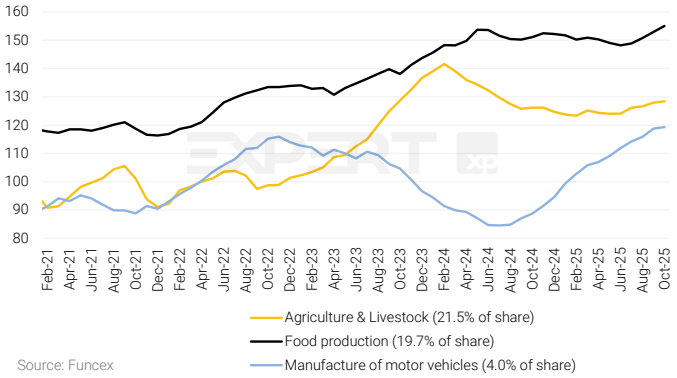
Another record grain crop is expected for 2026. Moreover, the start of operations at the new terminal in "Santos Port" and the reopening of a terminal in "Barcarena" (State of Pará) should expand soybean export capacity. On the other hand, stronger domestic activity may keep imports elevated, while the oversupply of certain commodities may put downward pressure on export prices (see "Global Background" section). **Given this year's higher base, we adjusted our 2026 trade surplus projection from USD 62.0 billion to USD 69.0 billion.**

Trade balance revision leads to a narrower current account deficit. Alongside the upward revision to the trade balance, we made a marginal adjustment to the primary income account — mainly profits and dividends — to reflect a larger-than-expected deficit in September. **Altogether, we now see the current account deficit at USD 73.8 billion (3.2% of GDP) in 2025, down from USD 79.5 billion (3.5% of GDP), and at USD 67.5 billion (2.8% of GDP) in 2026, compared with USD 74.5 billion (3.1% of GDP) previously.** Stronger domestic demand remains a source of upside risk for imports, profit remittances, and other income outflows.

Foreign Direct Investment (FDI) remains solid. We also revised our forecast for net FDI flows to include the stronger-than-expected September data. We view that result as a one-off, since it was partly driven by a single transaction exceeding USD 1 billion. Still, **we raised our 2025 projection from USD 72.6 billion (3.2% of GDP) to USD 75.6 billion (3.3% of GDP). 2026 forecast remains at USD 70.0 billion (2.9% of GDP).** Overall, FDI has remained robust, with a notable increase in equity capital.

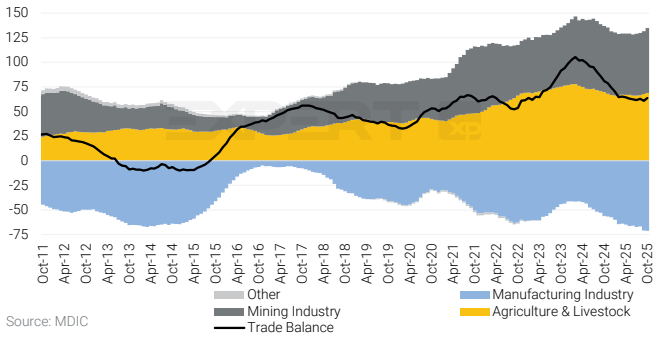
Exchange rate outlook unchanged

Exports have recovered in the second half, mainly driven by grains, meat and vehicles...
Exported volume index. 6MMA. 2019 = 100.



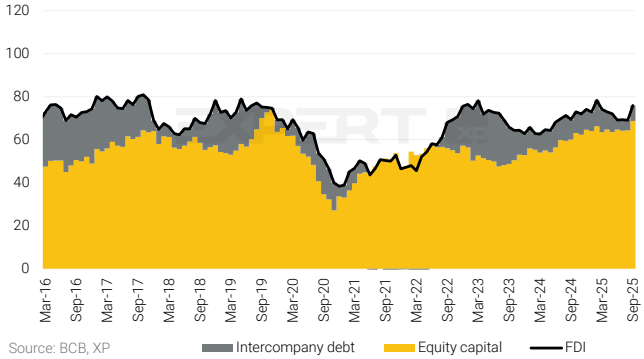
Source: Funcex

... but the trade balance has remained virtually stable, reflecting still high import levels
12M (USD Bn)



Source: MDIC

FDI inflows remain robust in 2025, following an upward surprise in the September figures
12M (USD Bn)



Source: BCB, XP

We kept our FX forecast at 5.30 reais per dollar for 2025. The currency has been trading around 5.40 reais per dollar since September. Throughout the year, the BRL appreciated by about 13%. We do not expect further appreciation, given (i) the US dollar seems to have stabilized globally, (ii) persistent domestic uncertainty, and (iii) the deterioration of the current account deficit. Our 2026 forecast remains at BRL 5.50 per USD, consistent with inflation differentials and a moderate adjustment in the risk premium. The outlook ahead remains uncertain, reflecting heightened global geopolitical risks and Brazil's still-challenging fiscal and political environment.

XP Forecasts — USD Bn

	2022 US$ Bi	2023 US$ Bi	2024 US$ Bi	2025 (P) US$ Bi	2026 (P) US$ Bi
Current account	**-42.2**	**-27.1**	**-66.2**	**-73.8**	**-67.5**
Trade Balance	**51.5**	**92.3**	**65.8**	**58.3**	**60.4**
Exports	340.2	343.8	339.9	350.6	357.6
Imports	288.7	251.5	274.0	292.3	297.2
Services	**-40.9**	**-43.8**	**-55.2**	**-54.0**	**-56.5**
Transportation	-19.4	-12.7	-15.1	-14.5	-15.0
Intellectual property	-6.6	-5.5	-8.7	-10.5	-12.0
Equipment rental	-8.3	-9.7	-11.2	-12.1	-12.9
Cultural services	0.4	-4.1	-4.8	0.2	0.3
Others	-7.0	-11.8	-15.5	-17.1	-17.0
Income	**-52.8**	**-75.6**	**-76.8**	**-78.1**	**-71.4**
Primary Income	-56.5	-79.5	-81.3	-83.1	-76.0
Profits and Dividends	-37.1	-50.0	-50.6	-55.0	-50.5
Interest	-19.6	-29.7	-31.2	-28.5	-26.0
Others	0.1	0.3	0.5	0.4	0.4
Secondary Income	3.7	3.9	4.5	5.0	4.7
FDI	**74.6**	**62.8**	**74.1**	**75.6**	**70.0**
Equity Capital	57.1	52.8	64.6	65.6	62.0
Intercompany transactions	17.5	9.9	9.5	10.0	8.0

Source: BCB, XP

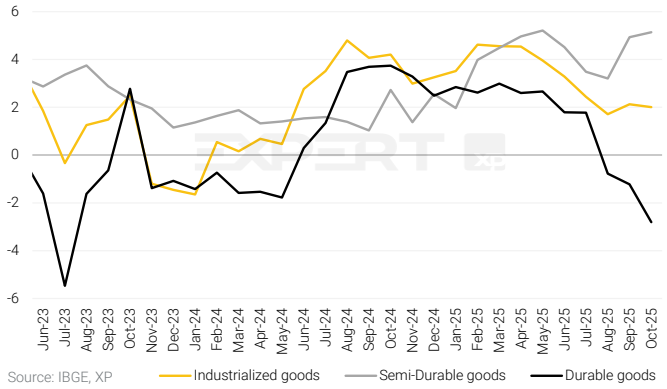
Inflation – Slightly lower IPCA projections for 2025 and 2026

Alexandre Maluf

Short-term inflation once again surprises to the downside. The October IPCA-15 came in slightly below expectations, with a benign breakdown. Foodstuff and industrialized goods inflation stood at negative territory, mirroring the deflation also seen at wholesale price indices. The average of core inflation measures (3M SAAR) is back inside the target range - though still closer to the upper bound than to the 3.0% target.

Industrialized goods prices remain contained and should remain subdued next year as well. The stronger BRL year-to-date and the effects of the trade war (due to cheaper imports from China) continue to ease pressure on durable goods prices, which recorded their third consecutive month of deflation in October. Wholesale industrial prices remain in deflationary territory, suggesting weak retail readings also in the coming months. We project industrial goods IPCA at 2.3% in 2025 and 2.8% in 2026. The baseline assumptions are (i) FX at 5.50 reais per dollar (YE 2026), (ii) average Brent oil price of 65 dollars per barrel, and (iii) a still disinflationary global environment.

Industrialized goods prices decline, mainly due to durable goods
IPCA-15. 3M SAAR (%)

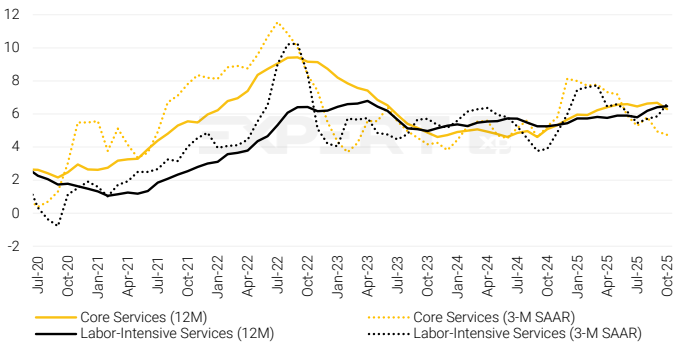


Source: IBGE, XP

Food prices inflation to remain low. The CRB food commodities index fell 13% this semester and should remain subdued throughout 2026, reflecting robust grain harvests in the U.S. and Brazil. In addition, we expect favorable production conditions for cocoa, coffee, and sugar. Finally, favorable weather for fresh food production should persist at least through the first half of 2026. On the inflationary side, we expect protein prices to rise by around 10%, reflecting the reversal of the livestock cycle. All in all, our projection for food-at-home inflation stands at 2.8% for 2025 and 4.6% for 2026.

No significant relief for services inflation. Services inflation also improved slightly due to localized drivers — such as cheaper voluntary car insurance and falling food prices (which benefit the "food away from home" group). Looking ahead, we see limited room for further services disinflation, as (i) the labor market should remain overheated and (ii) inflation

Services inflation gauges remain at high levels, and expansionary measures are risks for 2026
IPCA-15 (%)



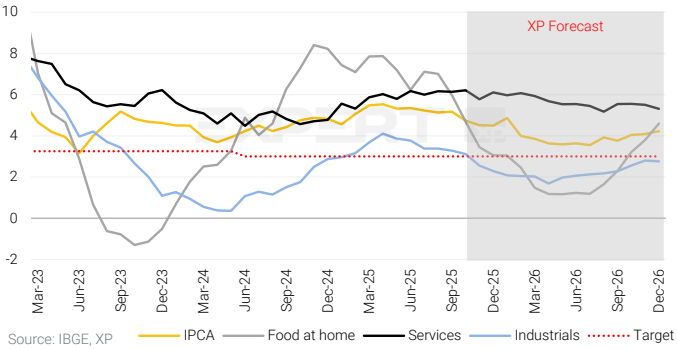
Source: IBGE, XP

expectations are unlikely to ease much further due to fiscal risks. We project services inflation at 6.1% this year and 5.3% for 2026, well above the 3.0% target.

Inflation of monitored prices under control. Petrobras announced a cut in gasoline prices at distributors, with a downward impact of 0.09 p.p. on this year's IPCA. Our scenario does not foresee further cuts through the end of 2026, although we recognize downside risks. Regarding electricity, Aneel maintained the red flag level 1 for November tariffs, and we anticipate a drop to the yellow flag in December, even with the abundant rainfall projected for the month. For 2026, we also expect a yellow-flag scenario in December, albeit with significant uncertainty. Consequently, we project administered prices to rise 5.3% in 2025 and 3.8% in 2026, slightly below previous estimates.

Considering all the factors above, we slightly reduced our IPCA projection for 2025 from 4.6% to 4.5%. For 2026, we project the IPCA at 4.2% (previously 4.5%), amid a marginally more favorable outlook across almost all inflation components.

IPCA inflation will likely end 2026 above the target despite some relief in the short term
IPCA 12M (%)



Source: IBGE, XP

Monetary Policy – Avoid jumping ahead of the curve

Caio Megale

The inflation dynamics have been better than expected. Besides the anticipated positive effects of stronger BRL and softer economic activity, cheap imported goods and falling foodstuff prices (due to favorable weather conditions and elevated output) are driving inflation down. IPCA market forecasts are falling somewhat for 2025, 2026, and even beyond.

Nevertheless, the medium-term balance of risks is turning hawkish, in our view. As mentioned in previous sections, fiscal and quasi-fiscal stimulus measures discussed by local media and by the government could lead to stronger domestic demand, higher inflation, and a wider current account deficit next year. The labor market remains tight, and inflationary expectations remain quite above the target (see chart). Thus, from a balance-of-risks approach, it seems wise for Copom to wait longer before starting an easing cycle, to ensure that disinflation continues.

We continue to anticipate that the Selic rate will reach 12.00% after six consecutive 50-bp cuts starting in March next year. The policy rate would stabilize at around 7.5% in real terms, above what we consider neutral, due to fiscal challenges for the next presidential mandate.

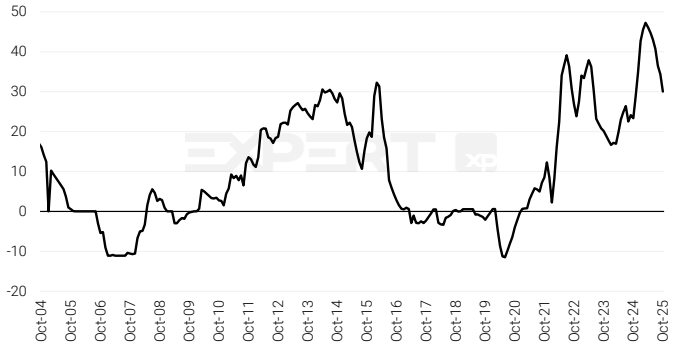
Fiscal reforms are needed for monetary policy to return to neutral. For the Selic rate to get closer to its neutral level – around 5.5% in real terms, as per our estimates – fiscal

IPCA Groups — 12M (%)

	2023	2024	2025 (F)	2026 (F)
Monitored prices	9.1	4.7	5.2	3.8
Market-set prices	3.1	4.9	4.3	4.4
Food at home	-0.5	8.2	3.0	4.6
Industrials	1.1	2.9	2.3	2.8
Services	6.2	4.8	6.1	5.3
IPCA headline	**4.6**	**4.8**	**4.5**	**4.2**

Source: IBGE, XP

Medium-term inflation expectations have eased, but remain well above the target
IPCA forecast (Focus survey) 1Y / 1Y forward (% of the target)



Source: BCB, XP

reforms that reduce the pace of expenditure growth are key. Without them, rising government debt may revive the debate over fiscal dominance that took place in Q4 2024.

XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current	
Economic Activity											
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,295	2,295	▬	2,412	2,412	▬
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,672	12,672	▬	13,508	13,508	▬
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.1	2.1	▬	1.7	1.7	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.0	▬	6.3	6.3	▬
Inflation											
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.6	4.5	▼	4.5	4.2	▼
Monetary Policy											
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.0	12.0	▬
Public Finances											
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.4	-0.5	▼	-0.4	-0.5	▼
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	0.0	-0.1	▼	-0.1	0.0	▲
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.8	▼	-0.5	-0.5	▲
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.0	-8.0	▬	-8.2	-8.2	▬
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.9	78.9	▬	83.1	83.6	▲
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	64.9	65.0	▲	68.8	69.3	▲
External Accounts and FX											
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.30	5.30	▬	5.50	5.50	▬
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	49.7	58.3	▲	53.4	60.4	▲
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	342.0	350.6	▲	350.6	357.6	▲
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	292.3	292.3	▬	297.2	297.2	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-79.5	-73.8	▲	-74.5	-67.5	▲
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.5	-3.2	▲	-3.1	-2.8	▲
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	72.6	75.6	▲	70.0	70.0	▬
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.2	3.3	▲	2.9	2.9	▬

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

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